

WAR

It is battle time once again, now over precious spectrum. The Government must ensure it is priced and used efficiently to spur competition and growth.

services (and vice versa), announced number portability—which means subscribers can shift operators without changing their number—and accepted the recommendations of the Telecom Regulatory Authority of India (TRAI) on spectrum utilisation. This means more competition, and lower tariffs, if Reliance Communications unleashes another price war.

Like in the licence raj, spectrum is the key to market share, growth and profits, which drive valuation. To get a sense of the magnitude of the moolah, consider this. India is the fastest growing mobile market in the world, adding over 8 million new subscribers a month. Valuations of both Reliance Communications and Bharti Airtel have touched nearly Rs 2,00,000 crore. Vodafone, with its \$88-billion (Rs 3,52,000 crore) market cap (its Indian business is valued at \$18 billion or Rs 72,000 crore), is the third largest player. Then there is the big house of the Tatas, who are a big player in the CDM domain. With revenues expected to touch nearly Rs 1,00,000 crore and growing at over 20 per cent, it is a market worth the battle.

Not surprisingly, the air is thick with the chant of lobbyists and political intrigue. Letters alleging favouritism and cartelisation and citing national interest are circulating in the corridors of Electronics Niketan, Sanchar Bhavan, Parliament and the PMO. Typically, the public affairs spectrum has been put to efficient use, with letters written to the prime minister and telecom officials being leaked out. But in a coalition, it is not enough to connect with the PMO. So the two sides are targeting MPs and ministers across party lines. If the Left Front MPs, angered by allegations of favouritism levelled by Mittal about MTNL and BSNL, have written to the Telecom Ministry asking for an enquiry of the allocation of additional spectrum to GSM operators, there have been demands from the Law Ministry for an empowered Group of Ministers (GoM).

The targeting of BSNL by Mittal has also drawn a sharp response from Minister of State for Commerce Jairam Ramesh who, in a letter to Mittal, praised the RCT and deemed his remarks "uncalled for". There is action in Parliament too. Former BPL telecom chief Rajeev Chandrasekhar, now a Rajya Sabha member, has said that spectrum is "a national asset".

“WE ARE A PRODUCT OF COMPETITION AND WE WELCOME IT. ALL WE SEEK IS THAT OUR HANDS SHOULD NOT BE TIED.”

SUNIL MITTAL CHAIRMAN, BHARTI TELECOM

